

Module 13

Business Assurance

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

Sales made to customers approved by the Engineering Department (IC#1) are related to occurrence assertion of revenue.

The Engineering Department allocating the sales of solar panels and service income (IC#2) is related to accuracy assertion of revenue.

Pre-numbered invoices being initiated by the Engineering Department (IC#3) is related to completeness of recorded revenue.

The system recording revenue based on issued invoices (IC#4) is related to completeness and accuracy assertions of revenue.

Answer 1(b)

Although certain internal controls are in place, the following "What could go wrong" possibilities relating to the following assertions are identified in ISPS's revenue recognition process:

Occurrence assertion

Revenue is recognised without evidence of shipment of solar panels.

Solar panels are delivered which do not agree to customer contracts.

Installation services are recorded without evidence of customer acknowledgement.

Accuracy assertion

Allocation of the sales of solar panels and service income is wrongly determined.

Total sales amounts, being the sale of solar panels and service income, do not agree to the contract price.

Completeness assertion

Solar panels are delivered but no revenue is recognised.

Solar panels are installed but no revenue is recognised.

Invoices are issued but revenue is not yet booked.

Cut-off assertion

Inappropriate allocation between sales of solar panels and service income may cause cut-off errors due to accelerating or decelerating the sales of solar panels in incorrect financial periods.

Variance between the dates of goods delivery and the issued invoices may cause cut-off errors due to the system records the revenue based on the issued invoices.

Answer 1(c)

The internal controls implemented by ISPS are considered to be ineffective.

There is a lack of controls to address the "What could go wrong" possibilities for the occurrence, accuracy, completeness and cut off assertions of the recorded revenue.

The audit team should perform the following procedures:

Test of controls

- Review the approval process of customers approved by the Engineering Department.
- Review the approval process of the allocation of sales and service income.
- Review the sales journal for missing invoice numbers.
- Test the information processing control in the system for reconciliation of pre-numbered sales invoices to recorded revenue.

Substantive procedures

- Match sales invoices to shipping documents and customer contracts.
- Examine customer contracts for evidence of approvals.
- Trace shipping documents to invoices to ensure all shipments have been invoiced and revenue has been recognised.
- Trace to customer acknowledgement for satisfaction and completion of installation services.
- Review reasonableness of the allocation of the sales of solar panels and service income, such as by comparing the allocation basis of each contract;
- Perform analytical review of the reasonableness of the margin earned from the sale of solar panels and installation service income such as by comparing ISPS's gross margin to the industry index and comparing the margin earned by each contract.

Answer 2(a)

The following factors and situation applicable to ISPS will be considered when evaluating the risk of inappropriate allocation of the sale amounts of solar panels and installation service income:

- ISPS is a start-up company which does not have substantial historical data to support the basis of the current period allocation.
- The margin for the provision of installation service varies in the market, which increases the difficulties for this estimation as management cannot benchmark to the industry index.
- The margin of ISPS's contracts varies from (8.3%) to 52.6%. As such, the allocation of pricing among the two performance obligations may need to consider the economics of each specific contract.
- 3 out of 4 contracts have not yet completed the installation service, and any inappropriate allocation may cause over/ under statement of revenue for the current and the following accounting periods.
- The allocation is based on management estimation which is not evidenced in the customer contracts.
- The allocation % among the contracts varies from 50%/50% to 89%/11% which may demonstrate that the basis applied to the allocation is not consistently applied.
- The contract sum among the contracts varies from HK\$250,000 to HK\$950,000. This indicates a wide range of the scale or complexities of the installation which may affect the allocation basis.
- ISPS does not have any stand-alone pricing for the sale of solar panels and installation income for management to consider the allocation.
- The resulted gross margin for the sale of solar panels and installation service income fluctuated significantly, which may not reflect the actual margin earned by each performance obligation.
- The allocation is solely initiated by the Engineering Department which means there is a lack of management review to ensure appropriate allocation.
- ISPS does not have a policy for the allocation, and causes the estimation to be more subjective than objective.

Answer 2(b)

The allocation of sale amounts of solar panels and installation service income for contract C-004 may be wrong due to:

- The margin earned by C-004 for its sale of solar panels achieves 74%, which is higher than the industry norm of 50%.
- The sales of solar panels for C-004 represent 89% of the total contract sum, whilst the installation service of HK\$100,000 represents 11%. However, the other contracts maintain at least 30% of the total contract sum as installation income and charge at least HK\$125,000. Accordingly, it appears that C-004 has a relatively larger scale of solar panels to be installed but the value of the installation is relatively small.
- Contracts C-001, C-002 and C-003 have resulted in a consistent margin for the sales amount and service income, but contract C-004 has recorded a loss margin for its installation service but a profit margin from the sale of solar panels.

Answer 3(a)

Trade payables balances are greater than the total purchases for the period

The total trade payables balance recorded by ISPS, which amounted to HK\$2,025,000, was greater than the total purchases of solar panels of HK\$1,012,500 for the current period.

ISPS does not keep any solar panels as its inventories and it is ISPS's first set of financial statements which did not have a carried forward trade payables balance. This indicates that the outstanding trade payables would only arise from the current period purchases.

It raises suspicion of irregularities to have a trade payables balance that is greater than the total purchases amounts, so it appears that the trade payables balance was not correct.

Significant amount of trade payables remained unsettled and deposits remained recorded at the reporting date

According to the terms with the suppliers, ISPS is required to settle the remaining balance (being 70% of the total purchase amounts) within 30 days after goods are delivered.

As all the solar panels were delivered to the customers within one month after the customer contracts were signed, and the contracts were signed between August and October, the expected delivery time for the contracts was between September and November.

When counting the 30-day credit term, by 31 December 2022, ISPS should have settled all the outstanding trade payables and all the deposits should have been used to offset the trade payables balance. Accordingly, it raises irregularities for ISPS to record deposits for purchases of solar panels of HK\$303,750 and trade payables of HK\$2,025,000 at 31 December 2022.

Answer 3(b)

The audit team should perform the following audit procedures:

- Enquire management for explanations of the irregularities.
- Circulate confirmations to Supplier A and Supplier B to confirm the outstanding balance at 31 December 2022.
- Inspect the supplier invoices and reconcile to the respective purchase order and customer contracts.
- Vouch cash payments to Supplier A and Supplier B for the period ended 31 December 2022 and reconcile to the deposits paid and settlements during the period or after the period (if any) of the trade payables balance.
- Reconcile the entries of the purchase transactions to the trade payables balance.
- Review the journal vouchers to identify any exceptional entries which may go through the trade payables and deposits balances.
- Obtain the suppliers' statements at 31 December 2022 and reconcile the outstanding balances to the trade payable ledger.

Answer 4(a)

We will perform the following procedures to test the GITC.

We will make inquiries of management and supervisory personnel or review entity-level documentation to obtain an understanding of the GITC in place. The walkthrough test is one means of obtaining this understanding.

System changes

We will review if all the changes to software are properly documented, approved, and authorised by the appropriate personnel in ISPS.

We will ascertain if ISPS has maintained a segregation of duties between those that develop the accounting system (the external vendor) and those that implement the accounting system.

As the ISPS accounting system was purchased from an external vendor, we will determine if ISPS can make changes to the software even if ISPS does not obtain the source code from the external vendor.

Either way would not make a significant difference because the importance of the general control is to have the changes approved, authorised and properly documented.

Physical and online security

We will test if physical access controls are implemented in ISPS which restrict access to hardware, software, and data – including data backup storage. Such access controls include doors with keypad entry controls, but may include more advanced biometric (fingerprint, voiceprint, retina scanning) controls or monitoring approaches with closed circuit television and security monitoring.

Access controls relating to online security should also be tested to ensure there is no unrestricted access to the software and data.

Backup and contingency planning

We will test if the general control of backup and contingency planning is maintained by ISPS to mitigate the risk and impact of disasters that may destroy or limit access to the entity's IT, despite the physical and online controls in place.

Answer 4(b)

Date: Exam Date

Independent Board of Directors
ISPS Limited

Audit planning communication

Dear Independent Board of Directors,

Further to our audit planning meeting, at your request, we are writing to you to analyse the impact of the GITC effectiveness on our audit strategy relating to the reliance of application controls.

IT that supports the entity's activities and business processes incorporates the entity's policies, practices, and procedures to ensure that the information produced by these business processes is complete, valid, and accurate for the purpose of financial reports.

Accordingly, the impact from GITC is pervasive.

When GITC is ineffective

ISPS is a start-up company. Its resources and manpower may be limited. Nevertheless, ISPS does not conduct any e-commerce transactions, and the number of contracts is not numerous. Therefore, it is regarded that ISPS does not operate in a complex IT environment. If its GITC is ineffective in design or operation, we would not rely on its application controls and would thus apply a substantive approach. We may inspect all the material contracts of ISPS.

When GITC is effective

ISPS has three operational departments: Engineering, Procurement and Finance, which can help to maintain segregation of duties. GITC of ISPS accounting software can be effective in design and operation. We will test the effectiveness of the application controls of the system (IC#3 and IC#4). If the application controls are effective, it would reduce the extent of our substantive work at the year end audit.

Should you have any further enquiries, please do not hesitate to contact our Audit Partner.

Yours sincerely,

CPA Limited

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

There are certain related party transactions between Easy Group and its shareholders which are complex and indicate a high risk.

The major shareholders, Quicknet Ltd and B-mall Limited, are also the app vendor partners; there are income/receivables from the shareholders that need to be disclosed.

One of its major shareholders, Quicknet Ltd, also provides cloud computing and server services to Easy Group at a discounted rate. Operating expenses/ payables to the shareholder will need to be disclosed.

The loan arrangement and vendor fee are directly negotiated by the CEO using his close personal relationship, which may indicate a lack of objectivity over the term, conditions, and pricing.

It is difficult to substantiate that the transaction price is at arm's length.

There are also shareholder loans without contracts signed and payment terms agreed. The lack of documentation creates ambiguity over its accounting classification and disclosure, as well as the accuracy of the loan amounts disclosed.

The content of the list of related parties may be incomplete and outdated as the list was prepared by the former CFO.

Answer 5(b)

The relevant audit procedures should include the following:

- The auditor shall obtain a complete related party list from management and understand its control over related party transactions.
- The auditor shall inspect all the significant contracts, transactions, and journal entries identify any other related party transactions that were omitted by the management.
- The auditor shall inspect the services agreements and other documentary evidence (e.g., market research about the pricing of similar services offered by other competitors) to ascertain if the transactions were carried out at arm's length.
- The auditor shall compare the price of transactions between related parties and independent third parties to ascertain if the transactions were carried out at arm's length.
- The auditor shall review the minutes of the board and management meetings to consider whether these related party transactions are properly reviewed and approved.

- For the shareholders' loans, the auditor shall seek client's legal counsel's advice to confirm the substance form of the loans and get the agreement signed in order to determine the appropriate accounting classification and disclosure.

Answer 5(c)

If auditors identify that the management has not disclosed related party transactions, the auditors shall investigate in detail. The audit team should:

- Promptly communicate the information to audit team members, managers, and partners.
- If the non-disclosure by the management appears to be intentional (and therefore indicates a risk of material misstatement due to fraud), the audit manager shall evaluate the implications on the audit.
- Communicate with those charged with governance about the significant matters relating to related parties that they have identified during the course of the audit. Include undisclosed related parties or related party transactions or disagreements with management over the disclosure of significant related party transactions.
- Explain the accounting standard requirement and the importance of the disclosure to the management and those charged with governance.
- Consider whether there is a need to issue a modification in the audit opinion if management still insists not to make proper disclosure in accordance with HKAS 24 *Related Party Disclosures* requirement.

Answer 6(a)

Implication

The audit team shall assess whether the B&B incident is an event after the reporting period. In addition, the audit team should assess whether the matter has resulted in any adjusting or non-adjusting events that should be recognised or disclosed in accordance with the relevant accounting standard (HKAS 10).

The B&B incident may also create indicators that Redlife may have liquidity issues as it has over 20% of its cash at bank balance held under B&B Bank, and the audit team needs to understand its impact over the company's operation and whether it will trigger going concern indicators.

Therefore, the audit team should carefully consider the required disclosures and evaluate the ability to continue as a going concern.

The audit team should also consider whether Redlife has made proper disclosures in relation to the B&B incident -- for example, if the disclosure is related to the concentration of credit risk and liquidity risk.

The audit team shall also consider whether Redlife has made proper subsequent events disclosures.

The audit team shall reassess whether there are risks over other financial assets that are held in financial institutions with a similar nature and reassess its audit approach if necessary.

Audit procedures

In response to the impact of such matters, the audit team shall consider performing audit procedures including but not limited to the following:

- Senior members of the audit team should be involved in the discussions with Redlife's senior management and executives regarding their potential exposures on the B&B Bank incident, especially with regard to liquidity assessment.
- The audit team shall also reassess the impact of the matter, and whether it will affect its original understanding of the client's controls, risk assessment, and related audit responses.
- The audit team shall obtain the latest bank balance as at the latest practical date to understand the exposure of issue, whether the subsequent bank balance is still material to Redlife and if it may adversely impact its liquidity.
- The audit team should understand the management's response and actions on claiming such significant cash balance and whether this affects its business operation.
- The audit team may obtain a legal letter or seek Redlife's legal counsel advice and understand whether Redlife still owns the assets and has sufficient ground to reclaim the bank balance.
- The audit team shall assess Redlife's liquidity and evaluate the potential impacts on going concern considerations and disclosure matters, including subsequent events after the reporting date that may require adjustment or disclosure.
- The audit team should also perform appropriate audit procedures and obtain sufficient audit evidence related to the existence and valuation of other financial assets that are held in financial institutions with similar liquidity and solvency issues as B&B bank.
- Inquire of management and obtain written representations regarding whether any subsequent events have occurred that require adjustment to, or disclosure in, the financial statements.
- Review minutes of meetings of the board of directors, audit committee, and other committees for discussions of subsequent events and any actions taken.

Answer 6(b)

HKSA 720 (Revised) *The Auditor's Responsibilities Relating to Other Information* and the requirements of the Companies Ordinance set out the auditor's responsibilities relating to other information.

The auditor is required to read "other information" that exists within the annual report but outside the financial statements covered by the auditor's opinion.

Obtain a copy of the other information, such as the annual report, and compare it to the financial statements for consistency with the audited financial statements. Evaluate whether the other information is consistent with the auditor's knowledge obtained during the audit.

If the auditor concludes that there is a material inconsistency between the "other information" and the financial statements, the auditor is required to report that fact. If no material inconsistencies exist, the auditor simply states that, based on the audit work completed, nothing has come to their attention that requires reporting. The auditor cannot provide any assurance on "other information".

The auditor is expected, for consistency, to consider selected amounts or other items in the other information where they replicate such amounts or items disclosed in the financial statements. The auditor must document the procedures they performed and maintain the final version of the other information on which the auditor has performed the work on the audit file.

Answer 6(c)

If the auditor concludes after discussing with management that there is a material misstatement of other information, the auditor should request management to make a change over the other information.

If management is unwilling to make the necessary changes as required by the auditor, the auditor must consider the possible impact it might have in the auditor's opinion.

Auditors may consider reporting such matters to those charged with governance of Redlife, such as the board of directors and the audit committee, for the inconsistency of other information and management's reluctance to change the notes required by the auditor.

Answer 7

- (a) A close business relationship between the audit firm or member and the audit client or its management involves a financial interest that could cause an advocacy or intimidation threat.

As YKL is working on the audit continuance assessment and is the existing auditor of Castle, this may compromise professional judgement made and create a wrong impression to the public about the independence of YKL CPA Limited.

Gary should reject being the speaker of the joint marketing event using the name of YKL CPA Limited and should not join the marketing event within the capacity of Castle audit partner.

- (b) Although Castle is a private entity which is audited by YKL CPA Limited, Gary is the key audit partner of Castle's audit engagement, and the accounting advisory services are related to the contract set-up and revenue recognition accounting policies, which may result in YKL CPA Limited assuming a management responsibility the Castle, this may create a self-review threat, and impair the independence of YKL CPA Limited.

YKL CPA Limited should have proper safeguards, such as having the service performed by a professional not part of the audit team or having a review of the audit or services provided by another member of the firm not involved to reduce the risk to an acceptable level.

- (c) Offering a discount to Castle to get Jerry's help in expanding the business network may create a self-interest threat.

Also, as Gary is the existing auditor of Castle, it will impair Gary's if there is a close business relationship with Castle.

Also, if the audit fee is too low and unreasonable, that might be difficult to perform a proper engagement following auditing standards requirement.

Gary should reject and explain to Jerry that the audit fee basis needs to be set to an appropriate level and he cannot compromise and offer a discount of the audit fee to get Jerry's client referral.

Answer 8(a)

Companies Ordinance (Cap.622) Part 9 s.379

Directors must prepare financial statements, a copy of which is laid before a company in a general meeting under Section 429, or is sent to a member under Section 430.

Companies Ordinance (Cap. 622) Part 9 s.380

The annual financial statements for a financial year:

- (i) Must give a true and fair view of the financial position of the company, such as at the end of the financial year; and
- (ii) Must give a true and fair view of the financial performance of the company for the financial year.

The financial statements must also comply with any other requirements of the Companies Ordinance (Cap.622) in relation to the financial statements and the accounting standards applicable to the financial statements.

Answer 8(b)

Companies Ordinance (Cap.622) Part 9 s.383

Notes to the financial statements must contain information on directors' emoluments:

- (a) The directors' emoluments;
- (b) The directors' retirement benefits;
- (c) Payments made, or benefits provided, in respect of the termination of the service of directors, whether in the capacity of directors or in any other capacity while directors;
- (d) Loans, quasi-loans, and other dealings in favour of:
 - (i) Directors of the company and of a holding company of the company;
 - (ii) Bodies corporate controlled by such directors; and
 - (iii) Entities connected with such directors;
- (e) Material interests of directors in transactions, arrangements, or contracts entered into by the company or another company in the same group of companies; and
- (f) Consideration provided to or receivable by third parties for making available the services of a person as director or in any other capacity while director.

In this case, Adrian received an emolument and retirement benefits in Hong Kong; he should disclose this portion of the benefit following the Hong Kong Companies Ordinance requirement.

Adrian also received interest-free home loans and some share options at the parent company, which should also be disclosed following Hong Kong Companies Ordinance requirements.

Answer 8(c)

The functions of the audit committee as set out in the Hong Kong Listing Rules are:

- (1) The audit committee has the important function of monitoring the integrity of the entity's financial statements, annual and interim reports and accounts, risk management (if there is not a separate committee, which in the case of a larger entity or groups there arguably should be), and internal control, as well as maintaining an appropriate relationship with the entity's external auditors. The audit committee should primarily focus on the integrity of financial reporting.
- (2) The audit committee has the responsibility of ensuring that the internal audit function is resourced adequately with personnel with appropriate qualifications, experience, integrity, and independence of mind. The audit committee should ensure that the internal audit function operates effectively in line with the internal audit charter set by the entity's full board.
- (3) The audit committee should ensure full co-operation with management and be supplied with sufficient information to carry out its role. The audit committee must take an active interest and be proactive and probing in understanding the financial affairs of the entity and be able to see red flags where they exist.
- (4) The audit committee should have a detailed understanding of the judgements of key assumptions underlying critical accounting estimates. The often-material impact such estimates can have on the entity's financial statements explains the need for such knowledge.
- (5) The audit committee should meet with the auditors at least twice a year. Practically speaking this is normally at the planning phase of an external audit and at its completion for any accounting period.
- (6) The independence of the external auditor should be reviewed by the audit committee annually. Focus should be placed where the external auditor also provides non-audit services. The audit committee should specifically consider:
 - (a) The nature of the non-audit services;
 - (b) Whether there are appropriate safeguards in place to ensure that there is not a threat to the fundamental principles and independence as set out in the *HKICPA Code of Ethics for Professional Accountants*; and
 - (c) The aggregate fees paid to the external auditors and the breakdown of the fees paid for audit and non-audit services for the financial period should be understood.

- (7) The audit committee should also monitor the change process and execution of implementing new accounting standards. There should be appropriate skill to understand and keep up to date with tax legislation and other regulatory developments in relation to financial reporting

* * * END OF EXAMINATION PAPER * * *